

Bengen's Dollar		90th	\$2,980	\$2,980	\$2,980	\$187,260	20%	39%	0%
Floor-and-Ceiling	2.48%	50th	\$2,230	\$2,110	\$2,110	\$85,270	-15%	-2%	-1%
Withdrawals		10th	\$2,110	\$2,110	\$2,110	\$27,940	-15%	-2%	-2%
Vanguard's		90th	\$4,530	\$4,290	\$4,090	\$102,620	-1%	90%	-2%
Percentage Floor-	4.14%	50th	\$3,260	\$2,560	\$2,210	\$51,500	-47%	3%	-3%
and-Ceiling									
Withdrawals		10th	\$2,330	\$1,600	\$1,120	\$24,410	-73%	-48%	-3%
Kitces Ratcheting		90th	\$2,320	\$3,090	\$4,110	\$207,030	95%	91%	0%
Rule	2.11%	50th	\$2,110	\$2,320	\$3,090	\$84,590	46%	44%	0%
		10th	\$2,110	\$2,110	\$2,110	\$28,100	0%	-2%	0%
Guyton and		90th	\$3,700	\$4,050	\$4,460	\$135,590	33%	107%	0%
Klinger's Decision	3.36%	50th	\$2,910	\$2,650	\$2,700	\$61,420	-20%	26%	-1%
Rules		10th	\$2,100	\$1,720	\$1,700	\$25,070	-49%	-21%	-2%
Zolt's Glide Path		90th	\$2,560	\$2,560	\$2,560	\$188,410	0%	19%	0%
Spending Rule	2.56%	50th	\$2,560	\$2,560	\$2,560	\$75,660	0%	19%	0%
		10th	\$2,440	\$2,010	\$1,760	\$25,730	-31%	-18%	-1%
Modified RMD		90th	\$4,050	\$6,170	\$8,010	\$88,740	218%	273%	-2%
Rule (Spending									
Rate = $0.78 \times$	2.52%	50th	\$2,870	\$3,610	\$4,260	\$46,570	69%	98%	-3%
RMD %)		10th	\$1,990	\$2,170	\$2,190	\$24,030	-13%	2%	-5%

Finally, Exhibit 6.24 shows what is feasible for a more aggressive retiree. Now the baseline spending strategy supports a 3.71 percent withdrawal rate, which is getting closer to the traditional 4 percent rule even in the current lower interest rate environment. Other spending rules support higher spending as well on account of the more aggressive asset allocation and the greater flexibility to allow wealth to fall to lower levels than otherwise.

Exhibit 6.24

Sustainable Spending Rates from an Investment Portfolio over 30 Years

PAY Rule (Aggressive Case): Allow for a 20% Chance That Real Wealth Has Fallen Below \$10,000 by Year 30

For a 65-Year-Old Couple, Using a 75/25 Portfolio of Stocks and Bonds

1,000 Monte Carlo Simulations Based on Current Market Conditions

Retirement Date Wealth Level = \$100,000